30 June 2017

Circular to Licensed Corporations and Associated Entities

Anti-Money Laundering / Counter-Terrorist Financing

(1) FATF Statement on Democratic People's Republic of Korea and Iran

(2) FATF Statement on Improving Global AML/CFT Compliance: On-Going Process

(3) Outcomes from the Meeting of the FATF Plenary, 21-23 June 2017

(4) United Nations (Anti-Terrorism Measures) Ordinance

(1) FATF Statement on Democratic People's Republic of Korea and Iran

Further to our circular issued on 10 March 2017, this is to inform you that the Financial Action Task Force ("FATF") issued an updated statement on 23 June 2017 identifying jurisdictions that have strategic deficiencies in their anti-money laundering and combating the financing of terrorism ("AML/CFT") regimes.

The statement [Note 1] has been separated into two sections.

(i) Jurisdiction subject to a call on its members and other jurisdictions to apply counter-measures

Democratic People's Republic of Korea ("DPRK")

The FATF remains concerned by the DPRK's failure to address the significant deficiencies in its AML/CFT regime and the serious threat this poses to the integrity of the international financial system. Further, the FATF has serious concerns with the threat posed by the DPRK's illicit activities related to the proliferation of weapons of mass destruction ("WMDs") and its financing. The FATF calls on its members and other jurisdictions to continue to apply counter-measures and targeted financial sanctions in accordance with applicable United Nations Security Council Resolutions to protect the international financial system from the on-going and substantial money laundering, terrorist financing and WMD proliferation financing risks emanating from the jurisdiction.

Licensed corporations ("LCs") and associated entities ("AEs") should give special attention to business relationships and transactions with the DPRK, including DPRK companies, financial institutions and those acting on their behalf, and subject them to increased scrutiny and enhanced due diligence measures.

[Note 1] *The statement can be found on the website of the FATF (http://www.fatf-gafi.org/publications/high-riskandnon-cooperativejurisdictions/documents/public-statement-june-2017.html).*

In addition, LCs and AEs are reminded that it is an offence under section 4 of the Weapons of Mass Destruction (Control of Provision of Services) Ordinance (Cap. 526) for a person to provide any services where he believes or suspects, on reasonable grounds, that those services may be connected to WMD proliferation.

(ii) Jurisdiction subject to a call on its members and other jurisdictions to apply enhanced due diligence measures proportionate to the risks arising from the jurisdiction

Iran

In June 2016, the FATF welcomed Iran's adoption of an action plan to address its strategic AML/CFT deficiencies and suspended counter-measures for twelve months accordingly. In light of Iran's demonstration of its political commitment and the relevant steps it has taken in line with the action plan, the FATF has decided to continue the suspension of counter-measures and will continue to monitor Iran's progress in the implementation of the action plan.

Until Iran fully implements the measures required to address the deficiencies identified in the action plan, the FATF remains concerned with the risk of terrorist financing emanating from Iran and the threat this poses to the international financial system. The FATF calls on its members and other jurisdictions to continue to apply enhanced due diligence measures proportionate to the risks arising from the jurisdiction.

LCs and AEs should apply enhanced due diligence measures to business relationships and transactions with natural and legal persons from Iran. LCs and AEs are further advised that the type of enhanced due diligence measures applied should be effective and proportionate to the risks, and in line with the standards as specified in the FATF statement [Note 1].

(2) FATF Statement on Improving Global AML/CFT Compliance: On-Going Process

In addition, please be informed that as part of the on-going process to improve global AML/CFT compliance, the FATF has set out in a separate statement an updated list of jurisdictions that have strategic AML/CFT deficiencies for which they have developed an action plan with the FATF. The FATF will closely monitor the implementation of those action plans and encourage its members to consider the information presented in the statement which can be found on the website of the FATF (http://www.fatf-gafi.org/publications/high-riskandnon-cooperativejurisdictions/documents/fatf-compliance-june-2017.html).

As the FATF will continue to assess the progress made by these jurisdictions in addressing the deficiencies in their AML/CFT systems and issue updated statements from time to time, LCs and AEs are reminded to browse the website of the FATF for the latest information.

(3) Outcomes from the Meeting of the FATF Plenary, 21-23 June 2017

In addition to the statements in (1) and (2) above, the FATF has also published various other outcomes of its recent Plenary Meeting which may be of interest to LCs and AEs. They include, for example, (i) work on combating terrorist financing and (ii) impact of recent FATF work on de-risking. Further information can be found on the website of FATF (http://www.fatf-gafi.org/publications/fatfgeneral/documents/outcomes-plenary-june-2017.html).

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(4) United Nations (Anti-Terrorism Measures) Ordinance

Further to our circular issued on 16 June 2017, an updated list specifying terrorists and terrorist associates designated by the United Nations Security Council ("UNSC") was published under section 4 of the United Nations (Anti-Terrorism Measures) Ordinance ("the UNATMO") (Cap. 575) in the Gazette on 30 June 2017 (G.N. 4346 of 2017). Two relevant press releases issued by the UNSC, reflecting the updates since the previous list was published in the Gazette (G.N. 3896 of 2017), are attached in Attachment 1.

The aforesaid list can be found on the Government's website (http://www.gld.gov.hk/egazette/pdf/20172126/egn201721264346.pdf).

LCs and AEs should check the names in the above list against their records, and report any transactions or relationships they have or have had with the named persons or entities to the Joint Financial Intelligence Unit.

Furthermore, LCs and AEs are reminded to refer to Chapter 6 of the Guideline on Anti-Money Laundering and Counter-Terrorist Financing ("AML Guideline") which contains guidance on the appropriate measures that LCs and AEs should take to ensure compliance with the UNATMO [Note 2].

Should you have any queries regarding the contents of this circular, please contact Ms Kiki Wong on 2231 1569.

Intermediaries Supervision Department
Intermediaries Division
Securities and Futures Commission

Enclosure

End

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[Note 2] *Under paragraph 6 of the Prevention of Money Laundering and Terrorist Financing Guideline issued by the Securities and Futures Commission for Associated Entities, AEs that are not authorized financial institutions are expected to have regard to the provisions of the AML Guideline as if they were themselves LCs.*